“Is Dad's House Protected?” Is Really Five Questions

A short guide for families planning ahead.

You asked three people whether Dad's house would be protected if he ever needed care, and got three different answers. They may each have been answering a different question.

This guide separates the five questions that usually sit inside that one, says in general terms what each is about, and names the kind of professional each belongs to. It explains. It doesn't say what the rule is in Dad's state or how anything he owns would be treated.

One question that is really five

“Is the house protected?” sounds like one question. It is usually five. How would care be paid for if Dad ever needed it? Might he qualify for Medicaid's help with the cost? What might he be able to keep? Where does he want his things to go after him? And what is estate recovery, and what might it mean later on?

The five overlap, which is why they get mixed together. But they aren't decided together. Even inside Medicaid, the federal long-term care site explains, being found eligible and qualifying for long-term care services are two separate determinations. And estate recovery, as KFF describes it, is the recovery of certain Medicaid costs after an enrollee dies, which is a different subject from whether a person qualifies in the first place. [1] [2]

So three people can each give an honest answer and still not agree. One was talking about qualifying, one about a will, one about something a cousin went through in another state.

- When someone tells you something about the house or the savings, note which of the five questions they were answering.
- If you can't tell, write that down too.

Paying for care, and whether Medicaid would help

The first two questions travel together. Long-term care, in the federal long-term care site's glossary, means services and supports necessary to meet health or personal care needs over an extended period of time. Medicaid is one of the ways it gets paid for: a joint federal and state program that helps people with low income and assets pay for some or all of their health care bills, and that covers long-term care services in nursing homes and at home. [3] [1]

Whether a particular person would qualify is not something a general guide can say. The program's rules are based on federal requirements, but states have considerable leeway in how they operate their programs, so eligibility rules vary from state to state. For how to qualify in a given state, the same site names the State Medical Assistance office as the best source of information. [1]

Dad isn't applying for anything. For now these two questions simply belong on the list, along with what anyone would need in order to answer them: what he owns, and how each thing is owned.

- Who to ask: your Medicaid planner, about how care might be paid for and how the rules in Dad's state may apply to his situation.
- What to have ready: a dated list of what Dad owns.

What Dad might keep, and where it goes after him

The third and fourth questions are the ones families usually mean by “protected,” and they are different from each other. What Dad might keep is about his own lifetime, and his spouse's if he is married. Where his things go after him is estate planning.

On the first, there is no single list. A home, savings, retirement accounts and insurance may not all be treated the same way under Medicaid rules, and how each is treated depends on the state and on the facts. If Dad is married, federal law has provisions meant to prevent what it calls spousal impoverishment: leaving the spouse who is still living at home with little or no income or resources. Under those provisions, the federal Medicaid site says, a certain amount of a couple's combined resources is protected for the spouse living in the community. How much, and how any of it would apply to your family, is for a professional to say. [4]

On the second, the federal long-term care site lists estate planning among the things elder law attorneys do: wills and living trusts that direct where a person's assets go after death. Justice in Aging, a national legal nonprofit, notes that estate planning typically requires help from a lawyer. [5] [6]

This is also where families start to talk about changes: adding a child to the deed, giving something away, setting up a trust. Those are legal and financial decisions, and this guide doesn't weigh them. The Consumer Financial Protection Bureau's guide for homeowners says to seek advice from legal and tax professionals, because transferring property can have significant financial implications, and that the timing of when a home is sold or given away may affect Medicaid eligibility. [7]

- Who to ask: your Medicaid planner first. Anything legal, including any change in ownership, goes to an elder law attorney, and anything involving a financial product goes to a licensed financial professional.
- What to write down: whose name is on the deed and on each account, any named beneficiaries, and any change the family has talked about, as a question.

Estate recovery, the later question

The fifth question is the one families most often haven't heard of. If a person receives Medicaid coverage for long-term care services, the federal long-term care site explains, federal law requires states to recover the amount Medicaid spent on that person's behalf from the estate after death. The site's glossary adds that the amount recovered cannot be greater than the amount Medicaid contributed to the person's medical care. [8] [3]

It is a separate subject from qualifying. Justice in Aging notes that estate recovery occurs only after the death of the person who received Medicaid, and that where a home was not counted toward eligibility, many families are unaware that it may later be subject to recovery. The same report says Medicaid programs, including how they handle recovery, vary significantly from state to state. [6]

There is more to it than a general guide can cover. States are required, for one thing, to have procedures for waiving estate recovery when it would cause an undue hardship. What any of this would look like in Dad's state is a question for an elder law attorney. [9]

- Who to ask: an elder law attorney who knows Dad's state.
- What to write down: “estate recovery in Dad's state” on your list of questions, and whether anyone has mentioned it to you so far.

What this means for your family

- “Is the house protected?” becomes five questions, and you can say which one you're asking.
- Paying for care and Medicaid eligibility: your Medicaid planner. If Dad ever applies, it is the state that decides eligibility (source 1 below).
- What Dad might keep: your Medicaid planner first, with the legal parts going to an elder law attorney and the financial parts to a licensed financial professional.
- Estate planning and estate recovery: an elder law attorney.

- Your part is the page those conversations start from: a dated list of what Dad owns, whose name is on each thing, and your questions.
- Nothing in this guide is a reason to move, retitle or give away anything. Those are decisions to take to a professional as questions.

What this guide doesn't do

It doesn't say which of Dad's assets would be counted, what he may keep, or what estate recovery may mean for the house. It doesn't recommend doing anything with any of it, and it isn't legal, financial or tax advice. The general statements come from the sources below. The advice about what to write down is ours.

Ready for the next step?

You can tell the five questions apart now, and you know which kind of professional each belongs to. The planning interview asks about your family's situation one question at a time and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare information), Medicaid
2. KFF, What is Medicaid Estate Recovery?
3. Administration for Community Living (LongTermCare information), Glossary
4. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
5. Administration for Community Living (LongTermCare information), Will I Need a Lawyer?
6. Justice in Aging, Mitigating the Harmful Effects of Medicaid Estate Recovery: Strategies for State Advocates
7. Consumer Financial Protection Bureau, Leaving your home to children or heirs (Older Americans Housing Guide)
8. Administration for Community Living (LongTermCare information), Medicaid Estate Recovery
9. Medicaid.gov (Centers for Medicare & Medicaid Services), Estate Recovery